

Policy Updates

Last updated on August 6, 2026

Notice of Amendment(s) to the United States PayPal Agreement(s)

This Page

This page details and/or previews updates to PayPal users of changes to the United States PayPal User Agreement or other online agreements, policies, or statements that require notice. [You can also review Past Policy Updates notices](#). Note that additional changes could be made to previewed agreements on or before the effective dates listed, provided the applicable notice requirements are met.

Upcoming Changes

We're making changes to certain agreements (listed below) that govern your relationship with PayPal. These changes will take place automatically on the corresponding effective date(s) shown below.

Actions Needed

Please carefully review the notices below and familiarize yourself with the upcoming changes. By continuing to use our services after the changes take effect, you agree to be bound by those changes. Otherwise, no further action is needed from you to accept such changes. However, if you would prefer to decline them, then you will need to close your PayPal account prior to the applicable effective date, as described in the user agreement.

Notices

Issued: June 29, 2026

Amendments to the United States PayPal User Agreement and PayPal Balance Terms and Conditions

Effective September 14, 2026:

- We are updating terms of the United States PayPal User Agreement and PayPal Balance Terms and Conditions that affect how disputes you and PayPal might have with each other are resolved. Please review these updates carefully because they affect your and our rights. The

updates include a new Dispute Resolution section that replaces the Agreement to Arbitrate. The updates include the following:

- We are modifying the required mandatory informal dispute resolution process.
 - We are updating the arbitration procedures, including adding procedures for mass arbitrations and replacing AAA with JAMS as the arbitration provider.
 - We are specifying that the state and federal courts in New York County, New York, will have exclusive jurisdiction over any disputes (except for disputes brought in small claims court) that are not subject to arbitration or any action involving the applicability or enforceability of the Arbitration Agreement or any of its parts.
 - We are specifying that the updates will apply to all disputes between you and PayPal regardless of when they arose.
- Please carefully review the updated PayPal User Agreement and PayPal Balance Terms and Conditions below and familiarize yourself with the upcoming changes. By continuing to use our services after the changes take effect, you agree to be bound by those changes. Otherwise, no further action is needed from you to accept such changes. However, if you would prefer to decline them, then you will need to close your PayPal account prior to the applicable effective date, as described in the user agreement.

[Review the updated PayPal User Agreement](#)

[Review the updated PayPal Balance Terms and Conditions](#)

Amendments to the PayPal User Agreement and Merchant Fees Page

Effective September 1, 2026:

- The PayPal User Agreement is being updated to clarify the terms, conditions, and fees applicable when business accounts use the Send Money feature to send payments for goods and services, including payments sent to recipients without PayPal accounts.
- The Bill Pay for Business Accounts section of the merchant fee page is being amended to:
 - Reduce the disbursement fee via PYUSD from 1% to No Fee.
 - Add a fixed fee for disbursements when funding a Bill Pay for Business Accounts transaction via debit or credit card. The updated fixed fee pricing will result in fee increases for some transactions.

[Review the updated PayPal User Agreement](#)

[Review the updated Merchant Fees page](#)